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China: a relationship at risk?

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It's Australia's biggest trading partner but John Howard has pulled back and Beijing has noticed.

China has become Australia's biggest trading partner but a cooling in John Howard's attitude has generated suspicion in Beijing and may pose a threat to a \$50 billion-a-year trade relationship.

Hark back to March 1996 when US president Bill Clinton dispatched warships to the Taiwan Strait after China test-fired missiles in an attempt to intimidate Taiwanese voters before the island's presidential elections.

Howard - only in the Prime Minister's job a few days - backed Clinton who sent a carrier group to discourage any Chinese effort to take the island by force.

Beijing was none too pleased. Australia, after all, purported to support a One-China policy, though this policy anticipated a peaceful reunification of the island with China.

Relations were in the "deep freeze" for months until Howard made his first trip to Beijing. It was a valuable lesson for the Prime Minister on pushing the boundaries of the Australia-China relationship.

In the following 10 years he has worked hard to turn the relationship around, building political trust and developing the bilateral relationship to a high level of engagement.

Howard sought to promote areas of "agreement and positive endeavour" (economic ties) over "those things that makes us different" (read: concerns over its authoritarian government, military build-up) and his policy has paid off handsomely.

Cheap goods from China and the billions of dollars in energy and resources deals have contributed to more than a decade of continuous growth for the Australian economy and fuelled China's remarkable accelerated development.

Just this year China eclipsed Japan as Australia's biggest trading partner. Two-way trade is now worth more than \$50 billion, though the balance is tilted in Beijing's favour.

While emphasising the primacy of the US alliance, Howard differentiated himself from George W. Bush on China's meteoric rise, stressing Australia saw an opportunity where Washington saw a threat - particularly over China's military build-up.

By the time China's President, Hu Jintao, made a historic address to the Australian parliament in 2003, Beijing was arguably the country's second foreign-policy priority after the US. Negotiations are now under way on a Free-Trade Agreement which, although bogged down, is supposed to be finalised by April next year.

But in the past six months Australia's rhetoric has changed and relations between the two countries have demonstrably cooled.

Australia has taken three steps that have aroused Beijing's suspicions.

First, we signed a new security agreement with China's long-term rival Japan in March.

Second, we have been willing to discuss possible involvement in a missile defence shield with the US and Japan.

Third, a new forum involving Australia, the US, Japan and India is regarded by China as a "gang of democracies" out to curb its influence.

On July 6, Beijing also criticised Australia for its new defence strategic update, which justifiably warned Beijing's massive military build-up represented a threat to regional stability.

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Government sources suggest the shift is more than a response to US pressure to create a balance to Chinese power.

They argue it accords with Howard's own values, and is also the result of some hard-headed rethink within the bureaucracy over the impact of China's growing economic and military capabilities.

And last but not least, with an election looming it provides the Prime Minister with a platform to "wedge" Mandarin-speaking Labor leader Kevin Rudd and accuse him of being too close to China and therefore anti-US alliance.

Management of the China relationship is inextricably linked to both national security and economic management, which are themes featuring strongly in a de-facto election campaign.

Foreign Minister Alexander Downer has led the government's "pro-China anti-alliance attack" on Labor, but there is nothing in the opposition's defence or foreign policies to suggest it would elevate China over the US.

Both parties say their first priority is to support the US alliance, though the Chinese relationship remains important.

Australian National University professor of strategic studies Hugh White is one who believes the government's change of tack is all about wedging Rudd, rather than any broad strategic plan and he suggests it is a dangerous game to play with such an important economic relationship.

"You only have to look at the timing. John Howard's attitude towards

China began to shift at about the same time Kevin Rudd became Labor leader last year," White says.

He suggests the Australia-Japan security agreement was a "lousy idea" in terms of maintaining good relations with China and suggests the quadripartite alliance with India, Japan and the US was "even worse".

"John Howard has become demonstrably cooler about the China relationship and the Chinese have taken note and it seems to me they are pissed off by that," he says.

"I wouldn't bet that it won't have an impact on the economic relationship.

"China knows that's where its influence lies . . . it could choose to drag out the FTA negotiations, Australian companies could be overlooked for big resource supply contracts . . . it would be easy enough to penalise Canberra," White says.

Downer rejects suggestions the government has cooled in its approach to China, saying Beijing has its own regional strategic groupings which exclude Australia, including its own tri-lateral talks with Japan and South Korea.

"Countries can build strong bilateral relationships with each other without doing so at the expense of third countries," Downer said in a recent Sky News interview.

"I don't think we've had as strong a relationship with Japan - as strong as it is today anytime since 1945.

"But on the other hand we have built up a very good relationship with China . . . we don't pursue one of those relationships at the expense of the other," he said.

Labor's foreign affairs spokesman, Robert McClelland, warns the China relationship is too important to Australia's "economic and security interests" to be toyed with. "In the government's endeavour to diminish Kevin as a potential prime minister, they are attacking his knowledge of China and his language skills as a detriment when those capabilities should be seen as a tribute to him.

"Foreign Minister Alexander Downer is peddling the myth that Labor would elevate its relationship with China over that of the United States but Labor rejects any suggestion there would be any downgrading of the US alliance," McClelland says.

ANU professor of economics and former ambassador to China Ross Garnaut says that while he believes the Australia-China relationship is "generally in great shape", renewed tensions may mean it won't stay that way.

"The Chinese are genuinely puzzled by these developments in the strategic relationship with Japan and the US and particularly the loose talk in Canberra of this quadrilateral relationship involving India.

"It remains to be seen whether this puzzlement hardens into something which will threaten the relationship," he says.

University of Sydney Centre for International Security Studies director

Alan Dupont believes the "cooling off" in relations with China has been brought about by a new strategic assessment of China as part of the strategic update, reflecting Howard's own values and a desire to corner Rudd.

"I think there are probably all those elements in this shift," Dupont says.

But Minerals Council of Australia chief executive Mitch Hooke told The Australian Financial Review there had been no impact on Australia's lucrative energy and resources trade so far.

"I think the Australia-China relationship is mature enough to withstand these kinds of tensions," Hooke says.

"The Chinese are as capable of separating trade and commercial considerations from political and security considerations as anyone else and they understand the need to do business to underpin their booming economy," Hooke says.

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